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CASE #	CASE NAME	HEARING NAME
CVRI2406002	GLASSER vs FCA US LLC	MOTION FOR ATTORNEYS FEES

Tentative Ruling:

Hearing off calendar, reason: Notice to Withdrawal filed on 7/8/2026 / taken off 7/9/2026

2.

CASE #	CASE NAME	HEARING NAME
CVRI2502047	MANZO vs REAL TIME RESOLUTIONS, INC	DEMURRER ON 1ST AMENDED COMPLAINT

Tentative Ruling:

Summary of Rulings:

As to Real Time's Motion:

The Court sustains the demurrer as to the fourth and seventh causes of action for failure to state facts sufficient. The Court grants one final 30 days leave to amend.

As to Litton, PHH, and Onity's Motion:

The Court denies the requests for judicial notice of Exhibits 1-4.

The Court sustains the demurrer to the fourth and fifth causes of action as to Litton as time barred as currently plead.

The Court sustains the demurrer to the fourth and fifth causes of action as to PHH and Onity/OCWEN for fails to state facts sufficient.

The Court sustains the demurrer to the sixth cause of action as to Onity/OCWEN and PHH.

The Court grants one final 30 days leave to amend.

FACTUAL / PROCEDURAL CONTEXT

This is a wrongful foreclosure action. On 4/21/2025, Gloria Manzo, Susana Manza, and the Estate of Juan Manzo (collectively, "Plaintiffs") filed a complaint against Real Time Resolutions, Inc. ("Real Time"), LLS Litton Loan Servicing LP, OCWEN Financial Corporation, Onity Group, Inc., PPH Mortgage Company, aka PPH Mortgage Corporation; Fieldstone Mortgage Company, Clear Recon Corp, and ZBS Law, LLP.

On 4/16/2026, the court sustained, in part, two demurrers. This resulted in Plaintiffs filing the operative first amended complaint (“FAC”) on 5/15/2026. The FAC asserts the following causes of action: (1) violation of Business and Professions Code § 17200; (2) wrongful foreclosure; (3) slander of title; (4) fraud; (5) negligence; (6) “negligent/intentional” infliction of emotional distress; and (7) elder abuse.

The FAC states that on 1/18/2007, Plaintiffs Gloria and Juan Manzo purchased a home located at 111841 Amethyst Court, Mira Loma, California (the “subject property”). (FAC, ¶ 24.) The purchase was made with two loans, one via deed of trust in the amount of \$544,000 (“First Mortgage”) and a second loan in the amount of \$136,000 (“Second Mortgage”) serviced by Defendant Fieldstone. (*Id.* at ¶ 25.) Between February 2007 and January 2008, Defendant Litton acquired security interest of the Second Mortgage from Fieldstone. (*Id.* at ¶ 27.)

The FAC alleges that on 1/4/2008, Plaintiffs received a letter from Litton stating the Second Mortgage was forgiven via a settlement with the United States Department of Justice. (*Id.* at ¶¶ 28-29; Exhibit B.) The letter states the remaining principal balance of \$135,949.35 will be forgiven. (*Id.* at ¶ 30.) Plaintiff continued to make payments on the First Mortgage but stopped making payments on the Second Mortgage given they were told it was forgiven.

On 10/11/2017, Fieldstone allegedly assigned the unenforceable Second Mortgage to Real Time. (*Id.* at ¶ 34.) Real Time then began demanding Plaintiffs make payments on the Second Mortgage principal and a decade of accrued interests, stating Plaintiffs were in default. (*Id.* at ¶ 35.) Defendant Clear Recon recorded a Notice of Default on behalf of Real Time on 2/22/2018. (*Id.* at ¶ 36.) After back and forth with Plaintiffs who asserted the Second Mortgage had been forgiven, a notice of rescission was filed, canceling the Notice of Default. (*Id.* at ¶¶ 36-38.)

The issue came up again on 3/30/2023 when another Notice of Default was filed on behalf of Real Time. (*Id.* at ¶ 41.) The balance had ballooned to \$350,943.15 and later, on 9/13/2023, Real Time foreclosed and took title to the subject property. (*Id.* at ¶¶ 42-44.)

Now, Real Time demurs to the FAC on the grounds that the fourth and seventh causes of action fail to state facts sufficient. Specifically, Real Time argues both causes of action are time barred, that the fraud cause of action fails to allege specific facts that Real Time made any intentional misrepresentation about the Second Loan, and that the elder abuse cause of action fails to allege facts indicating that any real or personal property was taken.

In opposition, Plaintiffs argue the complaint properly states fact sufficient and is not time barred due to the delayed discovery and continuing violation doctrine.

In reply, Real Time restates the arguments from the moving papers.

In a separate motion, Defendants PHH Mortgage Corporation (erroneously sued as PPH Mortgage Company) (“PHH”), Onity Group, Inc. (erroneously sued as Ocwen Financial Corporation) (“Onity”), and Litton Loan Servicing LP (erroneously sued as LLS

Litton Loan Servicing LP) (“Litton” or collectively “Intermediary Lending Defendants” with PHH and Onity) demur to FAC’s fourth, fifth, and sixth causes of action for fails to state facts sufficient.

In opposition, Plaintiffs argue the complaint properly states fact sufficient and is not time barred due to the delayed discovery and continuing violation doctrine.

In reply, The Intermediary Lending Defendants restate the arguments from the moving papers.

ANALYSIS

A. Meet & Confer Requirement

CCP § 430.41 requires a meet and confer process via **phone or in person** before filing a demurrer or motion to strike five days before the responsive pleading is due. The meet and confer process requires the moving party to identify the causes of action or allegations subject to attack and the plaintiff must provide legal support for its position. (CCP § 430.41(a)(1).) The demurring party must file a declaration stating the means by which the parties met and conferred, or the responding party failed to respond or meet and confer in good faith. (CCP § 430.41(a)(3).)

Here, Real Time satisfied the meet and confer requirement. (Declaration of Jennifer Andrews, ¶ 2.) The Intermediary Lending Defendants also satisfied their meet and confer requirement. (Declaration of Owen Campbell, ¶ 2.)

B. Demurrer by Real Time – Merits

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (CCP § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly pleaded, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Katleman* (1994) 8 Cal.4th 666, 672.) However, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar v. Yellow Cab Company* (1967) 67 Cal.2d 695, 713.) Facts appearing in exhibits attached to the complaint will also be accepted as true and, if contrary allegations appear in the complaint, will be given precedence. (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 606.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

i. Fourth Cause of Action for Fraud

The elements of fraud are: (1) misrepresentation or concealment, (2) knowledge of falsity, (3) intent to defraud, (4) justifiable reliance, and (5) resulting damage. (*Lovejoy v. AT&T Corp.* (2004) 119 Cal. App. 4th 151, 157-158.) Every element of the cause of action must be pled factually and specifically and the policy of liberal pleading does not apply. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 47.) This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered.” (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.)

Real Time first argues that this claim is time barred because the fraud “cause of action appears to be based on [Real Time’s] acquisition of the alleged unenforceable loan in 2017 and immediate attempts to enforce it.” (See Real Time’s Demurrer, p. 6:26-28.)

As with the prior demurrer, this argument fails. The general rule for accrual of a cause of action sets the accrual date as the time “ ‘when, under the substantive law, the wrongful act is done,’ or the wrongful result occurs, and the consequent ‘liability arises.’ [Citation.] In other words, it sets the date as the time when the cause of action is complete with all of its elements [citations].” (*Norgart v. Upjohn Co.* (1999) 21 Cal.4th 383, 397.) But the FAC goes on to allege Real Time, “...misrepresented to Plaintiffs’ that they were obligated or required to pay on the canceled Second Mortgage....” (*Id.* at ¶ 89.) It then wasn’t until 3/30/2023 that a second notice of default was filed, ultimately resulting in foreclosure on 9/13/2023. (*Id.* at ¶¶ 39-41.) A demurrer based on a statute of limitations defense must clearly and affirmatively show that the claim is barred. (*Lockley v. Law Office of Cantrell, Green, Kekich, Cruz & McCort* (2001) 91 Cal.App.4th 875, 881.) The running of the statute of limitations must appear “clearly and affirmatively” from the dates alleged; it is not enough that the complaint may be barred. (*Roman v. County of Los Angeles* (2000) 85 Cal.App.4th 316, 324.) Therefore, the fraud cause of action is not time barred as currently plead.

Real Time also argues Plaintiffs’ fail to allege substantive facts sufficient to maintain the fraud claim. The Court agrees that the FAC is insufficient in this regard. The allegations regarding Real Time are still far too conclusory and general to state a claim for fraud as to Real Time. (FAC, ¶¶ 88-93.) Especially intent and reliance. (See *Id.* at ¶¶ 88 “...with scienter...” and 93 “Plaintiffs relied...”.) The FAC also fails to allege the “when” and “who” aspects of the fraud claim against Real Time. The allegation that Real Time “concealed and deprived” Plaintiffs of “pertinent information” also lacks specificity as to what pertinent information was concealed. (*Id.* at ¶ 92.) Finally, there are no allegations regarding knowledge of falsity. The FAC fails to allege any facts establishing how Real Time knew the Second Mortgage could not be foreclosed on. The only allegation is that Plaintiffs sent a letter to PHH informing them that the Second Mortgage had been forgiven. (*Id.* at ¶ 37.)

The court sustains the demurrer to the fourth cause of action, and grants one final 30 days leave to amend.

Seventh Cause of Action for Elder Abuse

Abuse of an elder or a dependent adult means any of the following: (a) physical abuse, neglect, financial abuse, abandonment, isolation, abduction, or other treatment with resulting physical harm or pain or mental suffering; (b) The deprivation by a care custodian of goods or services that are necessary to avoid physical harm or mental suffering; or (c) financial abuse....” (Welf. & Inst. § 15610.07.) Regarding financial elder abuse, section 15610.30 provides in pertinent part:

(a) “Financial abuse” of an elder or dependent adult occurs when a person or entity does any of the following:

(1) Takes, secretes, appropriates, obtains, or retains real or personal property of an elder or dependent adult for a wrongful use or with intent to defraud, or both.

(2) Assists in taking, secreting, appropriating, obtaining, or retaining real or personal property of an elder or dependent adult for a wrongful use or with intent to defraud, or both.

(3) Takes, secretes, appropriates, obtains, or retains, or assists in taking, secreting, appropriating, obtaining, or retaining, real or personal property of an elder or dependent adult by undue influence, as defined in Section 15610.70.

(b) A person or entity shall be deemed to have taken, secreted, appropriated, obtained, or retained property for a wrongful use if, among other things, the person or entity takes, secretes, appropriates, obtains, or retains the property and the person or entity knew or should have known that this conduct is likely to be harmful to the elder or dependent adult.

As a statutory cause of action, elder abuse must be pleaded with particularity. (*Covenant Care v. Superior Court* (2004) 32 Cal.4th 771, 790.)

First, Real Time again argues the elder abuse claim is time barred because Plaintiffs were “aware” Real Time was entitled to enforce the deed of trust for more than seven years. For the same reasons as with the fraud claims, the seventh cause of action is not timed barred “clearly and affirmatively” from the dates alleged.

Next, Real Time argues Plaintiffs fail to plead specific facts that Real Time took any property with the intent to defraud. The allegations are still too general. The FAC states that Real Time’s “...outrageous and fraudulent conduct to foreclose...while knowing [Real Time] lacked security interest...” is the basis of the claim. (FAC, ¶ 135.) The FAC fails to allege any facts establishing how Real Time knew the Second Mortgage could not be foreclosed on. The only allegation is that Plaintiffs sent a letter to PHH informing them that the Second Mortgage had been forgiven. (*Id.* at ¶ 37.) The FAC also only generally alleges intent. (*Id.* at ¶ 137.)

The court sustains the demurrer to the seventh cause of action, and grants one final 30 days leave to amend.

C. Demurrer by The Intermediary Lending Defendants – Merits

i. Requests for Judicial Notice

The Intermediary Lending Defendants requests judicial notice of a press release from the US Department of Justice regarding a settlement (Exhibit 1), a statement from the Consumer Financial Protection Bureau (Exhibit 2), a 2013 Consumer Financial Protection Bureau press release (Exhibit 3), and a 2014 consent judgment (Exhibit 4.)

As with the prior demurrer, the court denies the request for judicial notice of Exhibits 1-4. The Intermediary Lending Defendants argue that these exhibits show that Plaintiffs' forgiveness letter, which is stated to be based on a settlement with the DOJ, is not genuine because the settlement occurred in 2013 – five years prior to the date of the letter. Taking judicial notice of a website is improper and judicial notice of the truth of a documents' contents is also improper. (*Herrera v. Deutsche Bank National Trust Co.* (2011) 196 Cal.App.4th 1366, 1375 [“[t]aking judicial notice of a document is not the same as accepting the truth of its contents”]; *Ragland v. U.S. Bank National Assn.* (2012) 209 Cal.App.4th 182, 194 [cannot take judicial notice of a website].) Exhibit 4 is not relevant to this motion. (*Aquila, Inc. v. Superior Court* (2007) 148 Cal.App.5th 556, 569 [only relevant material may be noticed].)

Again, and also with the prior demurrer, The Intermediary Lending Defendants' argument regarding the genuineness of the forgiveness letter will not be considered by the court on this demurrer. The demurrer evaluates whether the allegations are sufficient, not the credibility of evidence.

ii. Fourth Cause of Action for Fraud

The cause of action still groups together PHH and Onity/OCWEN. (FAC, ¶¶ 82-87.) Plaintiffs must specifically plead each element of fraud as to each defendant with specificity. Even if PHH and Onity/OCWEN were separated out, the allegations lack specificity to sustain a fraud claim. There is no specificity as to intent or justifiable reliance.

As to Litton, the FAC does separate the allegations against them from the other defendants. But as with the other defendants, the allegations generally state the elements of fraud without any supporting factual allegations, as required. Moreover, the FAC alleges the last and latest wrongful act taken by Litton occurred on 1/4/2008 when it sent the purported forgiveness letter. (FAC, ¶ 29.)

Plaintiffs argue delayed discovery. “The discovery rule provides that the accrual date of a cause of action is delayed until the plaintiff is aware of her injury and its negligent cause.” (*Jolly v. Eli Lilly & Co.* (1988) 44 Cal.3d 103, 1109.) When, by the face of the complaint, it is clear a claim is time-barred, the delayed discovery rule provides that the plaintiff must specifically plead facts to show (1) the time and manner of discovery, and (2) the inability to have made earlier discovery despite reasonable diligence. (*CASMI IV v. Hunter Technology Corp.* (1991) 230 Cal.App.3d 1525, 1536.)

The burden is on the plaintiff to show diligence and conclusory allegations will not withstand demurrer. (*Id.* at 1536-1537.) The FAC does not specifically plead any facts that support the delayed discovery rule, nor does Plaintiffs' opposition cite any allegations in the FAC to support same.

The court sustains the demurrer to the fourth cause of action as to Litton, PHH, and Onity/OCWEN, and grants one final 30 days leave to amend.

Fifth Cause of Action for Negligence

The elements of a cause of action for negligence are: (1) a legal duty to use due care; (2) breach of such duty; (3) the breach was the proximate or legal cause of resulting injuries. (*Ladd v. County of San Mateo* (1996) 12 Cal.4th 913, 917.) "Negligence may be alleged in general terms; that is, it is sufficient to allege an act was negligently done without stating the particular omission which rendered it negligent. There is no requirement that [the plaintiff] identify and allege the precise moment of the injury, or the exact nature of the wrongful act." (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747-748.) The threshold element of a cause of action for negligence is the existence of a duty to use due care toward an interest of another that enjoys legal protection against unintentional invasion." (*Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 397.) Whether there is a duty is a question of law. (*Id.*)

For the same reasons as stated above, this claim is time barred as currently plead against Litton. Plaintiff must specifically plead facts supporting delayed discovery.

As to Onity/OCWEN and PHH, they are now added in as "Intermediary Lenders" as defined by the FAC. (FAC, ¶ 104.) But there are still no allegations identifying what Onity/OCWEN or PHH did to breach the list of duties identified in FAC ¶¶ 104-114. While the pleading standard for negligence is low, the only involvement by PHH (or is alleged parent Onity/OCWEN) is being sent two letters from Plaintiffs. (*Id.* at ¶¶ 37 and 39.) The negligence cause of action then alleges, "Defendants...**conduct and breach** of the aforementioned duties were the actual, direct, and proximate cause of harm...." (*Id.* at ¶ 116, emphasis added.) Without any conduct alleged to have been undertaken by PHH or Onity/OCWEN, even by the lower pleading standards for negligence, the claim is still subject to demurrer.

The court sustains the demurrer to the fifth cause of action, and grants one final 30 days leave to amend.

iii. Sixth Cause of Action for Negligent/Intentional Infliction of Emotional Distress

To recover for IIED, the conduct at issue must be outrageous. (*Cervantez v. J.C. Penney Co.* (1979) 24 Cal.3d 579, 593.) Defendant also must have intended to cause or acted with reckless disregard of the possibility of causing, severe or extreme emotional distress, and plaintiff must have suffered this distress. There must also be a causal nexus. (*Fletcher v. Western National Life Ins.* (1970) 10 Cal.App.3d 376, 394.) Outrageous conduct is conduct that is so extreme as to exceed all bounds of that

usually tolerated in a civilized community. (*Ross v. Creel Printing & Publishing Co. Inc.* (2002) 100 Cal.App.4th 736, 745.) “Behavior may be considered outrageous if a defendant (1) abuses a relation or position which gives him power to damage the plaintiff’s interest; (2) knows the plaintiff is susceptible to injury through mental distress; or (3) acts intentionally or unreasonably with the recognition that the acts are likely to result in illness through mental distress.” (*Hernandez v. General Adjustment Bureau* (1988) 199 Cal.App.3d 999, 1007.) This cause of action must be pleaded with specificity. (*Schlauch v. Hartford Accident Ins.* (1983) 146 Cal.App.3d 926, 936.) This requires that the pleading allege “facts demonstrating the nature, extent or duration of [plaintiff’s] alleged emotional distress.” (*Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217, 1227.)

Negligent infliction of emotional distress (“NIED”) is a form of negligence, which includes the elements of duty, breach, causation and damages. (*Huggins v. Longs Drug Store* (1993) 6 Cal.4th 124, 129.) There are two theories of NIED recovery: the “bystander” theory and the “direct victim” theory. (*Burgess v. Superior Court* (1992) 2 Cal.4th 1064, 1071.)

The FAC only brings this cause of action against Onity/OCWEN and PHH as relevant to this demurrer. The same issue with a lack of any alleged conduct undertaken by OCWEN/Onity and PHH subjects this cause of action to demurrer. The general references to “outrageous conduct” are insufficient without any facts identifying conduct are alleged elsewhere. The FAC states OCWEN/Onity and PHH accepted the assignment of the unenforceable Second Mortgage. (FAC, ¶ 120.) It then alleges that the same parties then sold the second mortgage. (*Id.* at ¶ 121.) But this contradicts the rest of the allegations – specifically that defendant Fieldstone transferred the Second Mortgage to Litton (*id.* at ¶ 27) and then assigned it again to Real Time. (*Id.* at ¶ 34.) Without any other allegations that state any conduct taken as to OCWEN/Onity and PHH, the allegations are insufficient.

The court sustains the demurrer to the sixth cause of action as to Onity/OCWEN and PHH, and grants one final 30 days leave to amend.

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CASE #	CASE NAME	HEARING NAME
CVRI2502047	MANZO vs REAL TIME RESOLUTIONS, INC	DEMURRER ON 1ST AMENDED COMPLAINT

Tentative Ruling:

See #2 above.